India-Australia Partnership: Why India Matters to Australia's Strategic and Economic Future, and the Issues Requiring the Most Urgent Attention

The case for the India-Australia partnership has traditionally been made in terms of what the two countries hold in common: membership of the Quadrilateral Security Dialogue (QUAD), a shared commitment to an open and rules-based Indo-Pacific[1], and a bilateral trade relationship both governments describe as operating below its potential. Over the past year, that case has acquired a more specific foundation as Australia's economic security has shifted westward into the Indian Ocean Region (IOR). The Lowy Institute's 2025 Asia Power Index recorded India crossing the forty-point threshold that defines a major power, ranking third in Asia behind the United States and China, with the region's third-largest economic capability and third-largest stock of future resources. Australia ranked sixth in the same index, holding the second-largest defence network in Asia and the second-largest positive Power Gap, meaning its influence exceeds what its raw capabilities would suggest. India, on the other hand, records a Power Gap of − 4.0, its resources exceeding its influence.[2] Thus, while Australia's strategic networks extend into the domain where India's resources are most concentrated, India's scale spans the maritime space where Australia's economic security faces its greatest vulnerability. India is the resident naval power of the IOR, identifying the entire region from the eastern coast of Africa to the Andaman Sea as its area of priority and positioning itself as a net security provider.[3] Adding to this, Australia's 2026 National Defence Strategy names India a 'top-tier security partner' and its most important defence partner in the north-eastern Indian Ocean.[4] The architecture built on this convergence is now considerable, and the issues requiring the most urgent attention concern whether that architecture can be converted into alignment and capability.

The most immediate issue is the geographic scope of Australian defence planning. The 2026 National Defence Strategy identifies the north-eastern Indian Ocean as part of Australia's primary area of military interest, which is the geography against which the Australian Defence Force structures and postures itself.[5] The north-western Indian Ocean sits outside that scope, despite the US-Israel-Iran conflict proving that disruptions there hit Australia's regional economic security just as hard.[6] The closure of the Strait of Hormuz in February 2026 reduced maritime transit by more than 90 per cent within days, transmitting a disruption that originated in the north-west directly into the Australian economy. Australia is a first-order Indian Ocean state by geography, holding the largest exclusive economic zone of any littoral country.[7] India is an emerging power in the north-western IOR and its 2025 Mutual and Holistic Advancement for Security and Growth Across Regions (MAHASAGAR) doctrine codifies New Delhi's broader economic and security priorities in countering Beijing's expanding influence, while anchoring itself as a key pillar of stability across the regional maritime sphere.[8] India has also secured access to facilities and built maritime-security partnerships across the Indian Ocean, including with Oman, Iran, the United Arab Emirates, Australia, Indonesia, Mauritius, Seychelles, and Madagascar.[9] Although Australia's primary military focus excludes the north-western Indian Ocean, the current maritime environment necessitates a higher level of operational collaboration with India than present limits allow.

While operational interoperability between Canberra and New Delhi has progressed significantly, there is a clear lag in defense-industrial collaboration. The 2020 Mutual Logistics Support

[1] "Australia-India Joint Declaration on Defence and Security Cooperation (2026)."
[2] Patton and Sato, "Asia Power Index: 2025 Key Findings Report."
[3] Baruah, Labh, and Greely, "Mapping the Indian Ocean Region."
[4] Commonwealth of Australia, "2026 National Defence Strategy."
[5] Bashfield and Corcoran, "Why Australia Must Deepen Its India Defence Ties to Counter China's Influence."
[6] Lee, "Australia Has the Alliances to Shape the Indian Ocean's Future, but Its Strategy Needs Work."
[7] Lee, "How Great Power Rivalry Returned to the Indian Ocean and the Stakes for Australia."
[8] Saha, "MAHASAGAR: India's Global Maritime Vision Explained — and Where Does Australia Fit," March 20, 2026.
[9] Mahendru and Wani, "India's Maritime Strategy in the Indian Ocean Region: Geopolitical Competition and Regional Stability."

Arrangement, concluded alongside the Comprehensive Strategic Partnership, is described by defence planners as the take-off point for logistical coordination and faster regional responsiveness. The Australian defence industry is small and export-oriented, accustomed to selling finished capability into markets that do not require co-development. While India's 'Make in India' policy establishes technology transfer, local production, and indigenisation as conditions of access.[10] Examining European allies highlights a stark contrast: France accounts for nearly a third of India's arms imports and has secured twenty-six Rafale Marine aircraft for the Indian Navy.[11] Similarly, following the Indo-German Defence Industrial Roadmap in April 2026, Germany is on track to seal a contract for six submarines manufactured at the Mazagon Dock in partnership with the Thyssenkrupp Marine Systems. [12]

Both Australia and India share a clear strategic convergence in strengthening its supply chain resilience. This is particularly evident in the critical minerals domain, where Australia's rich resource base, India's expanding industrial scale and domestic demand, and Japan's financial investment and processing expertise naturally complement one another.[13] Finalised in New Delhi in May 2026, the Quad Critical Minerals Framework addresses all three stages of the supply chain – extraction, refining, and recycling – while integrating private-sector coordination into its structure.[14] This is significant because the processing stage, where China dominates, has remained undeveloped despite existing bilateral agreements and investment forums. The precedent gives cause for caution: the Australia-India-Japan Supply Chain Resilience Initiative, launched in 2021, struggled to attract sustained political attention, and Australian efforts to establish a robust critical minerals partnership have proved difficult in an industry distorted by Chinese state subsidies and fluctuating prices.[15] China's suspension of rare earth and semiconductor mineral exports during recent tensions with the United States gave the framework fresh urgency.[16] Building operational processing capacity will ultimately hinge on maintaining this momentum long past the initial policy announcement.

But with $22.2 billion allocated in 2023, India ranked 20th among Australia's foreign investment destinations, representing roughly 0.6 per cent of its total overseas capital.[17] The Asia Power Index records the corresponding weakness on India's side, ranking its economic relationships ninth in Asia on the strength of underdeveloped trade ties across the region. As India's reluctance to liberalise market access in agriculture and Australia's unwillingness to allow significant labour mobility remain the outstanding obstacles to concluding the Comprehensive Economic Cooperation Agreement (now under negotiation), India's data localisation requirements add a further barrier to services trade.[18] For both Canberra and New Delhi, current geopolitical alignments and shifting regional structures have converged to create a policy window, which could unlock tangible economic benefits while cementing the India–Australia partnership within the Indo-Pacific's evolving economic and security framework. As two rising middle powers aiming to translate convergence into lasting regional influence, the imperative to advance past the ECTA is increasingly obvious. As the Lowy Institute's India Chair has observed, the task of building trust is largely complete, and the challenge now is translating shared interests into shared capability.

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[10] Bashfield and Corcoran, "Why Australia Must Deepen Its India Defence Ties to Counter China's Influence."
[11] "India and France in Fighter Deal."
[12] "The German-Indian Submarine Deal: From Cooperation to Collaboration?
[13] Pandalai, "As Modi Arrives in Australia, the Bilateral Is Only Half the Story."
[14] Pandalai, "The Quad Dividend for Australia and India."
[15] Hall and Singh, "Five Years Is a Long Time in Australia-India Relations, but There Is Still More to Do."
[16] "China Targets U.S. Rare Earths Firms in Response to Pentagon List."
[17] Niesche, "The Time Has Come for Australia to Invest in India's Trade Market."
[18] Ghosh, "India and Australia's Trade Deal Remains Half-Finished."

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